



Zoetis – Neogen Genomics Business

MN-05013

Decision

Acquisition is to be subject to Phase 2 review

17 July 2026

1. Decision

- 1.1. On 12 May 2026, Zoetis Holdings LLC (**Zoetis**), a wholly-owned subsidiary of Zoetis Inc., lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of its proposed acquisition of the global animal genomic testing business of Neogen Corporation (**Neogen Genomics**) (the **Acquisition**).
- 1.2. The ACCC has decided under section 51ABZJ(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition is to be subject to Phase 2 review (**Phase 2 Notice**).
- 1.3. The ACCC is satisfied that the Acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.
- 1.4. If the notifying party continues with the Phase 2 review, it must pay the applicable Phase 2 fee by 28 July 2026. If the fee is not paid by the due date, the ACCC is taken to have decided to cease considering the notification.

2. Parties to the Acquisition

The acquirer – Zoetis Holdings LCC

- 2.1. Zoetis is a US-listed global animal health company. Zoetis supplies genomic testing for beef and dairy cattle and sheep in Australia. Zoetis conducts all of its genomic testing for Australian customers in its laboratory based in Michigan, United States.

The target – Neogen

- 2.2. Neogen Corporation is a US-listed global biotechnology company. Neogen Genomics, a division of Neogen Corporation, supplies genomic testing services for beef and dairy cattle and sheep in Australia. It has laboratories located in the United States, Canada, Scotland, Brazil, China and Brisbane, Australia. Neogen Genomics acquired its Brisbane laboratory from the University of Queensland Genetics Laboratory in 2017.

Overlap between the parties

- 2.3. In Australia, Zoetis and Neogen Genomics (the **Parties**) overlap in the supply of genomic testing services for beef cattle, dairy cattle and sheep.

Industry background

- 2.4. Animal genomic testing involves analysing an animal's DNA to identify genetic traits and predict its genetic merit for economically important characteristics. In cattle and sheep, genomic testing is commonly used to assess traits such as fertility, growth

rates, milk production, meat quality, feed efficiency, disease resistance, genetic defects and overall health.

- 2.5. The testing process typically involves farmers collecting a sample on-farm from tissue, hair, blood or semen, the DNA being extracted in a laboratory, the results being compared against a reference population for that species, and then the resulting information, including Estimated Breeding Values, being provided to the farming business to support breeding and management decisions.
- 2.6. The end customers for animal genomic testing are farming businesses, which vary from small businesses relating to one farm to large farming corporations. Farming businesses may acquire genomic testing services directly from a testing provider or through a breed association¹ of which they are a member. Breed associations may either maintain a panel of preferred genomic testing providers, from which a member farming business can select a supplier to test their sample, or appoint a single preferred genomic testing provider.

3. Basis for Phase 2 Notice

- 3.1. During Phase 1, the ACCC may decide that a notification of an acquisition is to be subject to Phase 2 review if it is satisfied that the acquisition, if put into effect, could, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.
- 3.2. The basis for the ACCC's Phase 2 Notice is explained below, including the nature of the theory of harm that forms the basis for the ACCC's satisfaction and the matters the ACCC intends to investigate before making a determination. The theory of harm the ACCC is considering is set out below.
- 3.3. The ACCC has taken into account materials received during its Phase 1 assessment. Those materials included information, data and documents provided by the Parties in the notification and in response to information requests, further submissions by the Parties, and submissions and responses to enquiries and information requests from third parties including customers, competitors and industry bodies. The ACCC has also considered publicly available information.
- 3.4. The ACCC invites submissions from interested parties on the matters that the ACCC intends to investigate further as outlined in the boxes below and any other relevant matters. Submissions should be provided by **5pm AEST on 31 July 2026** via email to mergers@accc.gov.au with the title *Submission re: Zoetis – Neogen Genomics Business*.

Relevant areas of competition

- 3.5. The ACCC considers that the relevant areas of competitive overlap for the purposes of its assessment are the national supply of genomic testing services for each of cattle (dairy and beef) and sheep.

¹ A breed association is a not-for-profit organization dedicated to preserving, promoting and improving a specific breed of animal. Key functions of breed associations include pedigree registration, genetic evaluation and member support. There are numerous cattle breed associations in Australia including, for example, Angus Australia, Australian Wagyu Association, Herefords Australia, Holstein Australia, Jersey Australia, Australian Shorthorns, Australian Brahman Breeders Association, Guernsey Cattle Society of Australia and Brangus.

- 3.6. Based on the information currently before it, the ACCC's preliminary view is that:
- a) the product dimensions are limited to, respectively, genomic testing services for cattle and genomic testing services for sheep. The ACCC does not consider that other herd improvement methods or services are likely to be part of the same product market as genomic testing services; and
 - b) the geographic dimension is national. Australian farming businesses are only acquiring genomic testing services from suppliers with staff located in Australia (although their testing laboratory may be located overseas). Further, suppliers compete for customers nationally irrespective of where they are based.
- 3.7. Genomic testing provides a more accurate and earlier assessment of an animal's genetic potential than other herd improvement methods or services, including visual assessment, phenotype recording, breeding based on pedigree or physical characteristics or artificial insemination and advisory services. Genomic testing allows breeders to identify animals with favourable traits at a younger age. This enables more informed breeding and culling decisions, accelerates genetic improvement, and helps maximise productivity and profitability across herds and flocks.
- 3.8. Many breed associations require key breeding stock to receive genomic testing in order to be certified for their breed.
- 3.9. There are regulatory requirements for switching or expanding into supplying genomic testing for cattle for suppliers of genomic testing for other livestock. There appear to be significantly less regulatory requirements for switching or expanding into supplying genomic testing for sheep for suppliers of genomic testing for other livestock.
- 3.10. Based on information currently before it, the ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in the supply of genomic testing services for sheep in Australia. Zoetis has a small presence in relation to the supply of these services for sheep and there are multiple alternative suppliers who would be likely to constrain the merged entity. This Phase 2 Notice does not consider the supply of genomic testing services for sheep in Australia further, other than in relation to considering the competitive effects of the merged entity's increased access to, and use of, genomic data on sheep, as discussed in paragraph 3.16 below.
- 3.11. The ACCC is continuing to consider the appropriate product dimension of the relevant markets for the purposes of its assessment.

Matters the ACCC intends to investigate in Phase 2

- Whether other herd improvement methods or services are substitutes for genomic testing for cattle in Australia, including whether other herd improvement services are as efficient and effective as genomic testing, the level of take-up of genomic testing and in what circumstances breed societies require genomic testing to be used.
- The extent of the regulatory requirements for switching or expanding into supplying genomic testing for cattle that are faced by suppliers of genomic testing for other livestock.

- The extent to which there are discrete product markets for dairy cattle and beef cattle.

Competition effects in the supply of genomic testing services for cattle in Australia

- 3.12. The ACCC is satisfied that the Acquisition could have the effect, or likely effect, of substantially lessening competition in the supply of genomic testing services for cattle in Australia.
- 3.13. The ACCC's preliminary view is that the Acquisition would remove a direct and significant competitor to Zoetis in the supply of genomic testing services for cattle in Australia, thereby removing the competitive constraint that the parties currently exert on each other and giving rise to horizontal unilateral effects. As a result, post-Acquisition, the merged entity could have the ability to unilaterally increase prices and/or reduce service quality in the supply of genomic testing services for cattle in Australia (e.g. longer turnaround times, reduced customer support/communication, less innovation and flexibility to meet customer-specific requests).
- 3.14. Based on the information currently before it, the ACCC considers that:
- The Acquisition would combine the two largest suppliers of genomic testing services for cattle in Australia. Together, the Parties supply the vast majority of those services in Australia, and the merged firm would be the largest supplier by a significant margin.
 - Alternative suppliers would likely impose limited competitive constraint on the merged entity. There would be only a small number of alternative suppliers post-acquisition, each of which would be far smaller than the merged entity.
 - There appears to be a low likelihood of timely new entry or expansion at sufficient scale to provide an effective competitive constraint on the merged entity. Information obtained to date indicates that there are material barriers to entry and expansion, including entrenched relationships with breed associations, brand loyalty from farming businesses and the relatively large size of Neogen and Zoetis' field sales teams that visit cattle farms and influence the supplier that farming businesses choose for genomic testing.
 - Cattle breed associations in Australia appear unlikely to be able to credibly threaten to bypass the merged firm by self-supplying genomic testing services or sponsoring a new supplier.
- 3.15. Several third parties have expressed concerns about increased prices and/or reduced quality resulting from the Acquisition.
- 3.16. The ACCC is considering the competitive significance of the merged entity obtaining access to an increased volume and breadth of genetic data through the Acquisition, including whether this would, for example, raise barriers to entry and expansion or impede new or existing rivals' ability to compete effectively.

Matters the ACCC intends to investigate in Phase 2

- The extent to which remaining alternative suppliers of genomic testing services for cattle in Australia would meaningfully constrain the merged entity.
- The likelihood of timely new entry and expansion to constrain the merged entity in the supply of genomic testing services for cattle in Australia.
- The extent to which cattle breed associations could credibly threaten to bypass the merged entity, either by self-supplying genomic testing services for cattle in Australia and/or sponsoring new entry or expansion.
- The extent to which the merged entity would gain access to additional genetic information, whether this information would provide the merged entity with competitive advantages not available to its rivals and the effect of any such advantages on competition.

Decision made by a division of the Commission constituted by a direction issued pursuant to section 19 of the *Competition and Consumer Act 2010* (Cth)